

DragonX (\$DRGX)

In-Depth Research Report: A Strong-Privacy Layer 1 Network
Infrastructure · Privacy Technology · Cryptography & Mathematics ·
Mempool Messaging · Market Outlook

Report type: Project research (reference for investors)

Report date: October 9, 2026

Subject: DragonX independent privacy Layer 1 blockchain and its native asset, \$DRGX

Sources: Community materials, public statements by DragonX lead developer Dan, the project website, FAQ, release pages and public code repositories

Important notice: This report is compiled from community materials and information publicly disclosed by the project. Items marked "project-disclosed" have not been independently audited or verified by the author. The project's technical whitepaper is being revised; figures and technical descriptions herein should be re-checked against the new edition once published. Crypto-assets are highly volatile, and privacy assets additionally face exchange-delisting and regulatory uncertainty. This report is not investment advice; readers should conduct their own research and bear their own risk.

1. Executive Summary

DragonX is an independent strong-privacy Layer 1 blockchain. Its native asset is \$DRGX. The project's core proposition is **privacy enforced at the protocol layer**: zk-SNARK shielded transactions only, a metadata-obfuscation layer called Sietch, wallet-integrated end-to-end encrypted messaging, and fair, CPU-friendly RandomX mining.

Dimension	Key takeaway
Positioning	Strong-privacy independent Layer 1; protocol-enforced shielded-to-shielded (z2z) transfers; the only transparent transaction type is the miner coinbase
Issuance & fairness	Fair launch: no premine, no mining tax, no VC/private-sale allocation, no insider allocation (project-disclosed). The team must mine or buy on exchanges like everyone else
Privacy stack	Three layers: zk-SNARKs (foundation) → z2z-only enforcement (core) → Sietch metadata and behavior obfuscation (enhancement)
Differentiation	Sietch "Rule of Seven": at least 7 shielded outputs per transaction plus three forms of non-determinism to frustrate transaction-graph analysis; described by the project as running in production
Messaging	Wallet-integrated end-to-end encrypted chat delivered via the mempool, with no need to wait for block confirmation (block time about 36 seconds)
Throughput	Project-disclosed target of about 45 TPS for fully shielded transactions, equal to roughly 3.89 million transactions per day
Infrastructure	Full-node wallet ObsidianDragon v2.0.2, light wallet ObsidianDragonLite v1.0.0, Android wallet; built-in one-click mining and mining-pool hosting
Liquidity	Listed on Ourbit and NonKYC. A native decentralized swap (based on the open-source BSX architecture) and Adapter Signatures / BasicSwap are on the roadmap
Key date	Block-reward halving estimated for Dec 12, 2026, 02:13:40 (GMT+8), about 63 days from this report
Main risks	Exchange and regulatory risk, thin liquidity, small team, several roadmap items still in development, privacy mechanisms awaiting independent audit

Analyst view (qualitative)

- **Strengths:** a clear fair-launch narrative; privacy that is mandatory by design (avoiding the anonymity-set dilution of optional privacy); RandomX lowers the barrier to mining and supports decentralization.
- **Points to watch:** the headline claims (Sietch, mempool chat, 45 TPS) are largely project-disclosed and require independent audit and third-party reproduction; exchange coverage and secondary-market liquidity remain early-stage.
- **Catalysts:** the December 2026 halving, mobile wallet upgrades, Edge Wallet (iOS) integration, the native swap, offline signing and paper wallets.

2. Project Overview and Token Economics

2.1 Key facts

Item	Detail
Project / asset	DragonX / \$DRGX
Category	Strong-privacy asset; independent privacy Layer 1 blockchain
Codebase	Fully independent mainnet; the team is systematically reviewing, optimizing and cleaning up the codebase to improve performance and security
Consensus / mining	Proof of Work; RandomX (rx/0) CPU mining; block time about 36 seconds
Privacy model	z2z-only: transparent transfers removed at the protocol layer; the only transparent element is the miner coinbase
Launch	Fair launch; no premine, no mining tax, no VC/private sale, no team-reserved allocation (project-disclosed)
Website / code	dragonx.is; git.dragonx.is (including DragonX/drg-xmrig and other repositories)
Listings	Ourbit, NonKYC
Lead developer	Dan Akston

2.2 Token economics assessment

A fair launch means the team obtains \$DRGX the same way every participant does: by mining or by buying on exchanges. For investors this implies: (1) no premine or private-sale unlock schedules creating concentrated sell pressure; (2) supply distribution is determined by miner emissions and secondary-market trading; (3) valuation depends more on technical delivery and adoption than on venture backing.

Data still to be verified: maximum supply, circulating supply, per-block reward, top-holder concentration and estimated miner sell pressure. Because z2z-only shielding makes on-chain holdings hard to observe directly, we recommend requesting a verifiable issuance-audit method from the project (for example, reconciling cumulative block rewards against circulating supply).

2.3 Halving event

Per the project's countdown data, the next block-reward halving is estimated for **Saturday, December 12, 2026 at 02:13:40 (GMT+8)**. Halving reduces new supply and affects miner economics, network hash rate and secondary-market supply and demand, making it an important observation window. The timestamp is projected from block height and will shift with actual block times and network hash rate.

3. Privacy Technology Architecture

3.1 Three-layer privacy stack

Layer	Technology	Function
Layer 1 (foundation)	zk-SNARKs	Zero-knowledge proofs hide sender, recipient and amount while proving the transaction is valid
Layer 2 (core)	z2z-only enforcement	Transparent-address transfers are removed at the protocol layer, so every user shares one shielded pool and the anonymity set is not diluted by optional privacy
Layer 3 (enhancement)	Sietch metadata obfuscation	Counters transaction-graph and metadata analysis (output counts, timing, behavior patterns) by injecting non-determinism

3.2 Why mandatory privacy is the core competitive edge

zk-SNARKs by themselves are not unique to DragonX. The differentiator is enforcement. In networks where users may choose transparent addresses, a large share of activity remains publicly visible, and shielded funds that move in and out of the pool with matching amounts and timing leak metadata. DragonX, like Pirate Chain, removes the transparent channel at the protocol level so the shielded pool is the only route.

3.3 A purity trade-off: declining compromise-style DEX support

According to Dan, Pirate Chain allowed some transparent metadata to appear in DEX trades in order to use AtomicDEX for cross-chain atomic swaps. DragonX chose not to accept that compromise. It is instead exploring **Adapter Signatures** to integrate with the BasicSwap DEX, aiming for decentralized trading without weakening the purely shielded architecture. The project says this research began some years ago, was paused, and is planned to restart.

3.4 Exchange security and double-spend protection

Dan states that double-spend protection does not rely solely on dPoW (delayed Proof of Work). Exchanges are instead required to wait for **100 block confirmations**, which the team considers sufficient to eliminate reorganization risk in practice. His view of dPoW is that it only lowers the probability of double spends and carries a significant cost burden; he cites Pirate Chain's move of its security anchor from BTC to LTC as an example. This is consistent with DragonX's choice of a lean, CPU-mined base chain with deep confirmations.

Analyst note: 100 confirmations at about 36 seconds each is roughly 60 minutes of settlement time. This guards against deep reorganizations, but the cost of a 51% attack on any smaller PoW chain still depends on total network hash rate, so investors should track hash-rate trends and miner concentration.

4. Cryptography and Mathematics

4.1 Zero-knowledge proofs: what they protect and what they do not

The project's technical documentation stresses that zk-SNARKs are mathematically sound; practical attacks on privacy assets target *how higher-level protocols use the proofs*, that is, metadata leakage, rather than the zero-knowledge mathematics itself. Evaluating a privacy asset therefore requires looking beyond “uses zk” to whether transaction shape, output count, timing, fees and network-layer signals form an analyzable fingerprint.

4.2 Transaction-graph (ITM-style) metadata attacks

The project's published analysis describes an attack on fully shielded transactions that treats consensus rules as an *oracle*: an adversary replaces known commitments in a simulated chain and observes consensus error codes to infer how funds link together. It is placed in the family of “metadata oracle” attacks, analogous to BREACH, CRIME and HEIST against TLS.

The documented cost assumptions are an investment of roughly USD 100,000 or more in GPU/FPGA compute and intermediate storage about 100 times the size of the chain data. That is beyond individuals but within reach of nation-state agencies and large chain-analytics firms.

4.3 Sietch and the Rule of Seven

The core insight: in common shielded protocol usage, the typical fully shielded transaction has just two outputs (recipient plus change). Once one output is inferred, the other follows algebraically (if one output is 5, the other is total – 5). The more outputs a transaction has, the less each inferred output reveals.

Sietch works as follows:

- Every transaction carries **at least 7 shielded outputs**; with change, about 8 on average. A payment to anywhere from 1 to 7 recipients therefore looks the same on-chain.
- **Three forms of non-determinism**: random output *order*, random output *count* and random output *destination* addresses.
- Filler outputs are valid, spendable shielded outputs, not fake data, so they cannot be filtered out as invalid.
- Sietch addresses are generated randomly at runtime (not stored in source code or on disk), preventing attackers from collecting a fixed list to filter against.
- Consolidation transactions are shaped to look like ordinary ones (up to 8 inputs, 7 or 8 outputs).
- On by default for users; the cost is a few extra seconds per transaction (about 5 seconds or less, project-disclosed).

4.4 Quantifying path growth

Compare branching factors: an ordinary two-output transaction graph behaves like a binary tree (2 outputs per step), while Sietch behaves like an eight-ary tree (8 outputs per step). The theoretical path counts below were computed under that model and re-checked.

Hops (n)	Ordinary (2^n)	Sietch (8^n)	Multiple
1	2	8	4x
2	4	64	16x
3	8	512	64x
5	32	32,768	1,024x

Hops (n)	Ordinary (2^n)	Sietch (8^n)	Multiple
10	1,024	1,073,741,824	about 1.05 million x

Community materials also cite the permutation count of seven outputs: $7! = 5,040$, and over ten consecutive transactions $5,040^{10} \approx 1.06 \times 10^{37}$ orderings (the figure is on the order of 10^{37} , not 10^{36} as sometimes quoted). This is a theoretical combinatorial space, not an anonymity-set size and not the number of cases an attacker must literally enumerate. It illustrates how random output ordering inflates an attacker's search space; real-world protection depends on implementation details and independent review.

Analyst note: Community materials describe Sietch as operating at the RPC/wallet layer, injecting enforced non-determinism and combining with TLS 1.3 transport encryption and native P2P messaging. Whether Sietch is enforced at the consensus level on the current mainnet, and the precise TLS 1.3 integration, should be confirmed against the revised technical documentation once released.

5. Infrastructure

5.1 Wallet suite

Product	Version / status	Highlights
ObsidianDragon (full-node desktop wallet)	v2.0.2	BIP39 standard mnemonic seed; one-click migration of legacy wallet.dat; built-in end-to-end encrypted chat and contacts; one-click node and miner updates; one-click wallet repair; consensus-layer hardening and multi-threading; built-in one-click mining; mining-pool hosting (Stratum)
ObsidianDragonLite (light wallet)	v1.0.0	Syncs in seconds with no ledger download (a few MB); friendly to low-spec machines; same UI as the full node; built-in chat, mining, market view and console; private-key import with optional sweep-to-wallet and a custom scan start height
Android wallet	Being upgraded	Chat is currently a basic memo field; full encrypted messaging is planned for a later mobile release
iOS	Roadmap	Via Edge Wallet integration; Edge will sponsor the team at Porcfest, where DragonX-branded coffee can be bought with \$DRGX
Cold storage	Development list	Offline signing and paper wallet: Dan confirmed both are on the to-do list; the paper wallet is in development

5.2 Mining and network

- **Algorithm:** RandomX (rx/0): CPU-friendly and ASIC-resistant, lowering the barrier to participation.
- **Official pool:** pool.dragonx.is, Stratum port 3433. The pool backend has been refactored for higher miner concurrency and more efficient automatic payouts.
- **Dedicated miner:** drg-xmrig v6.25.2, an XMRig build tuned for DragonX.
- **Pool hosting inside the wallet:** enable “Host a mining pool (Stratum)” in the full-node wallet to let miners connect directly to your node, with configurable allowed IPs/CIDR ranges and no separate pool server. The chain of full node → Stratum → miners → network lets individuals run mining infrastructure, which may reduce pool centralization.
- **Global nodes:** seed/light nodes were recently added in Japan and India, improving connectivity across Asia and beyond.
- **Network layer:** native Tor integration; pairing with a VPN or obfuscated proxy is recommended to reduce DPI fingerprinting; P2P gossip propagation with no central server.

5.3 Throughput

The project discloses a target capacity of about 45 TPS for fully shielded transactions. At $45 \times 86,400$ seconds, that is 3,888,000 transactions per day (about 3.89 million), consistent with the project's “over 3.8 million” statement. For context, Bitcoin handles roughly 7 TPS and Ethereum roughly 15 TPS (project's comparison basis), though those chains process fully transparent ledgers.

Analyst note: 45 TPS is a protocol throughput target or ceiling, not sustained mainnet load. Independent stress-test results, block-size limits and client-side proof-generation time should be verified. Actual usage on a strong-privacy chain is also hard to observe directly and relies on project, wallet or pool-side disclosure.

6. Wallet-Integrated Encrypted Messaging and Mempool Delivery

6.1 Design

DragonX messaging (DragonXChat) is not a simple on-chain memo field; it is true end-to-end encrypted private messaging. The key design choice is that messages travel at the **mempool stage**: once broadcast, nodes receive and decrypt them in real time without waiting for a block. The roughly 36-second block time is the settlement layer's pace, while the messaging experience is mempool-level, in seconds.

Identity is derived from the BIP39 seed, and the z-address *is* the identity. In the chat screen a user enters the counterparty's z-address (or picks from contacts), types a message and sends a request to open an encrypted one-to-one conversation.

Aspect	Centralized messengers	DragonX mempool messaging
Transport path	Relayed through company servers	P2P broadcast embedded in mempool data
Single points of blocking	Server IPs, domains, app stores	No central server; blocking requires cutting off the entire blockchain network
Identity	Phone number, email, account	Shielded z-address as identity
Metadata	Provider sees contact graph and timing	Tor hides IP; Sietch obfuscation at the transaction layer
Delivery speed	Instant	Seconds (mempool stage, no block wait)
Settlement / record	Stored on servers	Ultimately settled on-chain; tamper-resistant

6.2 Four censorship-resistance pillars (project description)

- **Native Tor:** hides the real IP address; an ISP sees only encrypted Tor-node traffic.
- **Mempool messaging:** messages propagate across the decentralized network like air; as long as nodes keep running, messages can travel.
- **VPN + Tor layering:** running the wallet behind an obfuscated proxy (for example Reality or Trojan) lowers the chance that deep packet inspection identifies Tor fingerprints or node traffic.
- **P2P mesh topology:** no central server, so blocking a single official IP cannot disable the network.

6.3 Scope and boundaries

- The current design is focused on **one-to-one** private messaging; group chat is not a current goal. The project is explicit that technology can protect transit but cannot stop a recipient from taking a screenshot.
- The desktop wallet already supports full point-to-point encrypted messaging; Android is a basic memo field for now, with full messaging to follow.
- The project positions it as an untraceable personal confidential channel rather than a public social platform, which is a pragmatic boundary.

Analyst note: “As long as one node is running, messages can propagate” is a general description of decentralized networks. Availability still depends on node count and geographic distribution, blocking techniques (protocol fingerprinting, node IP bans) and the user's own network environment, so it should not be read as absolutely unblockable. The legality of Tor and VPN use also varies by jurisdiction; users must comply with local law.

7. Market Outlook and Target Audience

7.1 Sector background

The privacy-asset sector includes Monero (ring signatures, stealth addresses), Zcash (zk-SNARKs with optional privacy), Pirate Chain (z2z-only), Firo and Beam, among others. Project materials argue that optional transparency leaves most activity public, and that mandatory-privacy chains trade user choice for a larger anonymity set. Blockchain-analytics firms and state agencies keep investing in metadata analysis, which pushes privacy design beyond the ledger layer into the network and behavioral layers.

7.2 Competitive landscape (qualitative)

Project	Privacy mechanism	Privacy mandatory?	Stated differentiator
DragonX (\$DRGX)	zk-SNARKs + z2z + Sietch	Yes (coinbase only transparent)	Metadata and behavior obfuscation; instant encrypted mempool chat; RandomX fair mining
Monero (XMR)	Ring signatures, stealth addresses	Default	Most mature ecosystem, liquidity and brand awareness
Zcash (ZEC)	zk-SNARKs	Optional (transparent and shielded coexist)	Brand and compliance-oriented path; criticized in project materials for metadata leakage from shielding patterns
Pirate Chain (ARRR)	zk-SNARKs, z2z-only	Yes	Per project statements: allows some transparent metadata for AtomicDEX swaps; moved dPoW anchor from BTC to LTC

Note: descriptions of other projects reflect the DragonX project's own perspective and have not been independently verified.

7.3 Target audience

Segment	Needs	DragonX value
Privacy advocates and crypto-native users	Financial privacy, censorship resistance, decentralization	Mandatory privacy, open-source code, self-hostable nodes and pools
CPU miners and home-hardware users	Low barrier, fair mining	RandomX, one-click mining, official pool, dedicated miner
High-privacy-need users (journalists, activists, confidential business communication)	Untraceable transfers and private messaging	z2z + Sietch + built-in encrypted chat + Tor
Long-term holders and cold-storage users	Asset security, offline signing	Roadmap offline signing and paper wallet; BIP39 seed
Liberty-minded and decentralization communities	Offline events, cultural alignment	Presence at Monerotopia, Anarchapulco, Porcfest
Mobile and iOS users	Convenience, cross-platform access	Android wallet; Edge Wallet iOS integration (planned)

7.4 Ecosystem and brand

- **Why “Sietch”:** named by Dan after the Fremen's hidden desert strongholds in Frank Herbert's *Dune*, places of refuge and gathering in times of danger. Analytics firms play the role of the imperial patrols; Sietch is the hidden fortress for nodes and transaction behavior.

- **Agora-X (agorax.is):** the ecosystem's digital marketplace and social hub for privacy-asset enthusiasts, named after the ancient Greek “agora”, the civic square and marketplace.
- **Events:** Monerotopia (a summit for Monero and privacy tech, which Dan values highly), Anarchapulco (an annual anarcho-capitalist and voluntaryist gathering in Acapulco) and Porcfest. Their audiences overlap strongly with privacy-asset users.
- **Community:** the core team has publicly recognized the community's marketing and content work as a valuable ecosystem asset.

7.5 Outlook

Demand for privacy grows with on-chain surveillance capability. A combined narrative of mandatory privacy, network-layer protection and encrypted messaging is differentiated, and the fair launch lowers trust costs. As an early-stage project, however, user base, liquidity, brand awareness and compliance path all need time to prove out. Market performance will depend largely on exchange coverage, delivery of decentralized swaps, mobile experience and post-halving hash-rate and supply-demand dynamics.

8. Roadmap and Catalysts

Track	Content	Stage	Investment relevance
Mobile wallet	Faster connection, smoother transfers, better usability	Top priority, in progress	Lowers onboarding barrier
iOS access	Integration with Edge Wallet (iOS)	In progress	Reaches Apple users
Native swap	Built on the proven open-source BSX architecture; DRGX against USDT and other majors	In development	Opens buy/sell channels and improves liquidity
Adapter Signatures / BasicSwap	Atomic swaps without transparent metadata	Research; restart planned	Decentralized trading without sacrificing privacy
Offline signing and paper wallet	Core cold-storage requirements	On the development list; paper wallet in development	Appeals to large and long-term holders
Full mobile encrypted chat	Upgrade Android from memo field to end-to-end messaging	Later release	Consistent multi-device experience
Private smart contracts / sidechains	Studying ideas from Zano, BIP-300 and others	Long-term research stage	Optional far-term; not a basis for near-term valuation
Events	Porcfest and others	Planned	Brand exposure and community building

Recently delivered: full node v2.0.2, light wallet v1.0.0, mining-pool backend refactor, new FAQ page, new nodes in Japan and India, exchange listings added to the website, and drg-xmrig v6.25.2.

9. SWOT Analysis

Strengths	Weaknesses
Fair-launch narrative; mandatory privacy; Sietch metadata protection; instant encrypted mempool chat; low-barrier RandomX; integrated wallet (node, mining, pool hosting, chat)	Small team with high reliance on core developers; limited liquidity and exchange coverage; several key features still on the roadmap; no published independent audit conclusions for the privacy mechanisms
Opportunities	Threats
Growing demand for privacy as surveillance improves; decentralized swap and iOS launches; attention around the halving; cold-storage features attracting larger holders	Regulatory and exchange restrictions on privacy assets; improving analytics techniques; more mature competing ecosystems; hash-rate volatility and 51% attack risk; sharp price and liquidity swings

10. Risk Factors

Category	Description	What to monitor
Regulatory	Privacy assets may face restrictions or delisting in some jurisdictions and on some exchanges; the legal treatment of Tor/VPN use differs by country	Exchange notices, regulatory developments
Liquidity	Currently listed only on Ourbit and NonKYC with limited depth; large orders can cause slippage	Order-book depth, 24h volume, number of venues
Technical and security	Limited independent audit of the privacy and consensus code; new wallets and features can contain bugs; ongoing codebase refactoring carries change risk	Audit reports, vulnerability disclosures, release notes
Network security	A PoW chain with modest hash rate is exposed to 51% attacks and deep reorgs; exchanges mitigate with 100 confirmations	Network hash rate, pool concentration
Team and execution	The roadmap relies on a small number of core developers; delivery timing for swap, offline signing and other items is uncertain	Commit activity, release cadence
Verifiability	On-chain data on a strong-privacy chain is hard to observe; some metrics (TPS, usage) are project-disclosed	Third-party stress tests, independent data
Market	Crypto-asset prices are extremely volatile; a halving does not guarantee a price increase	Supply and demand, holder and hash-rate changes
Messaging risk	Promotional phrases such as “absolute privacy” or “the only one” are marketing language and not technical guarantees	Compare claims with the technical documentation and code

11. Due-Diligence Checklist

- Request the current location of the Sietch implementation (and whether it is consensus-enforced), plus TLS 1.3 integration notes and test results.
- Encourage an independent third-party audit of the privacy protocol and messaging protocol, with a public report.
- Verify maximum supply, block reward, circulating supply and the post-halving emission curve.
- Track network hash rate, pool distribution and block-time behavior around December 12, 2026.
- Watch real delivery dates for the native swap, Adapter Signatures, offline signing and iOS integration.
- Monitor exchange listings and liquidity, and assess delisting and compliance risk.
- Re-validate this report against the revised whitepaper when it is released.

12. Conclusion

DragonX offers a fairly complete privacy-product narrative built on mandatory privacy, metadata obfuscation and instant encrypted mempool messaging, and it has earned community trust through a fair launch and RandomX mining. Its infrastructure products (wallets, pool hosting, light nodes) are taking shape. The central tension for investors is that the thesis and technical vision are strong while liquidity, independent verification and roadmap delivery are still early. We suggest treating \$DRGX as a high-risk, high-volatility early-stage privacy-infrastructure asset and tracking audits, decentralized-swap delivery and post-halving network behavior closely.

Appendix: Sources and Verification Notes

- Community materials and public statements from DragonX lead developer Dan (dPoW, 100-confirmation policy, pure-privacy stance, Adapter Signatures/BasicSwap, roadmap).
- Project website dragonx.is, FAQ (dragonx.is/faq), release page (dragonx.is/release), code repositories (git.dragonx.is) and official pool pool.dragonx.is.
- Project technical documentation on Sietch and metadata analysis (a revised whitepaper is forthcoming; details to be re-verified on release).
- Calculations re-checked: $45 \text{ TPS} \times 86,400 = 3,888,000$ per day; $8^{10} = 1,073,741,824$; $2^{10} = 1,024$; $5,040^{10} \approx 1.058 \times 10^{37}$; time to halving: about 63 days 7 hours from Oct 9, 2026, 18:56 GMT+8.
- This report contains no live price, market-cap or volume data. Please verify with exchanges and market-data providers before making any decision.